

such as currency exchange rates, different laws and regulations in every jurisdiction, varying cultural norms, often much less liquid markets, and the risk of substantial information disadvantages.

At my firm, we often joke that in most countries, only a couple of dozen people know what's really going on, and we know that we're not one of them. An investor must figure out how to deal with such challenges and overcome any disadvantages. Of course, such challenges may also cause other investors to shy away from markets where these issues are particularly profound, which, in turn, may lead to prices that more than fully discount such challenges. In such cases, price is truly the great equalizer.

- David Abrams follows with his unique perspective on a multistrategy investment approach, describing the symbiotic effects of investing in both public securities and private equities.
- Given the large and growing amount of capital now held by educational, philanthropic, medical, and other endowments, I asked Seth Alexander, president of MIT Investment Company, to share his framework on the best contemporary strategies for the management of large pools of institutional capital. Seth demonstrates his acumen and invaluable perspective as a steward who doesn't pick individual investments himself but who seeks to determine the best sectors, strategies, and managers to which and whom to allocate capital.

All of the contributors to this seventh edition are well-known to me. They are superb investment thinkers as well as strong writers. Readers stand to learn a great deal from each of them. Together, the original Graham and Dodd text, combined with the essays written by our distinguished roster of contributors, offers up a paradigm through which those who are participants in, or simply observers of, financial